CSIS JAPAN CHAIR

Japan Daily Brief

Sunday, November 1, 2026

1,705 words · 7 min read

RE: BOJ declares 2% inflation 'generally achieved' · DPRK cluster-warhead test · Quad FM joint statement · GCAP Germany question · Tax-bill Diet standoff

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
63,290.11	157.52	$113.43	1.25%
▲ +1.77%	▲ +0.44%	▼ -0.40%	

TOP STORIES

ECONOMY-BOJ

BOJ sees 2% inflation target generally hit, holds policy rate steady

The Bank of Japan maintained its *1.25%* policy rate and stated that its 2% inflation target has been generally met, with Governor Kazuo Ueda signaling further policy adjustment to stabilize inflation at that level. The yen rose for a third consecutive day against the dollar as markets increased bets on a December rate increase.

KYODO NEWS

DPRK

North Korea fires off cluster bomb warheads in latest ‘major’ weapons test

North Korea's defense research institutes tested a new cluster-munition warhead for tactical ballistic missiles, claiming the system can destroy *130 hectares*, per KCNA; **Kim Jong Un** observed the test and called for rapid expansion of drone technology alongside the weapons program. The test follows the large multi-missile salvo into the Sea of Japan on October 29-30 and prompted a joint US-Japan-ROK denuclearization call.

THE JAPAN TIMES

INDO-PACIFIC

Japan, US, Australia, India take aim at China's economic policies

The top diplomats of Japan, the United States, Australia, and India voiced 'grave concerns' over China's use of trade restrictions and economic pressure at the Quad foreign ministers' meeting in Atlanta, and expressed support for expanding AI access to partner nations. The session also served as the venue for a trilateral US-Japan-ROK reaffirmation of commitment to the complete denuclearization of North Korea.

MAINICHI

ALLIANCE

Japan demands release of national in meeting with Russia’s Lavrov

Foreign Minister Toshimitsu Motegi met Russian counterpart Lavrov on the sidelines of the Quad ministerial in Atlanta — a rare high-level Japan-Russia bilateral — and formally demanded the release of Hokkaido Shimbun reporter **Yuki Imai**, detained by Russia's FSB on espionage charges in Sakhalin with consular access still

denied. The two countries' ties remain strained over Ukraine, the Northern Territories, and Moscow's continued denial of consular access.

THE JAPAN TIMES

TECHNOLOGY

GMO system attacker may have set up victim info sharing site

A website for victims of the cyberattack on GMO Internet Group to share information may have been set up by the attacker, deepening concerns about the breach; GMO CEO **Masatoshi Kumagai** and other executives will hold a press conference in Tokyo on Monday to address the series of unauthorized access incidents. The attack is part of a broader wave: a cumulative *260 million* personal records have been compromised in Japan since April.

MAINICHI

STAT OF THE DAY

260 million

Cumulative personal records compromised in Japan since April

Personal data of a cumulative 260 million people has been compromised in Japan since April amid a surge in cyberattacks, per Xinhua citing Japanese reports.

Personal data of cumulative 260 mln people compromised in Japan since April amid cyberattack surge — 新华网

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SUNDAY, NOVEMBER 1, 2026

PM Watch: No confirmed PM appearance today · 2 day(s) since last confirmed appearance

日本銀行 · BANK OF JAPAN · *Kazuo Ueda, BOJ Governor*

BOJ to more than double pace of ETF sales from January

The BOJ announced it will accelerate its exchange-traded fund sales, more than doubling the pace beginning in January, as part of its ongoing normalization of the balance sheet built up during years of ultra-loose monetary policy.

→ Nikkei Asia ↗

防衛省 · MINISTRY OF DEFENSE

MOD solicits private-sector proposals for rapid small-rocket launch capability

Japan's Defense Ministry is soliciting research proposals from private companies to develop small rockets capable of rapid launch, per Kyodo via Mainichi, as part of an effort to build a responsive space and strike-support capability.

→ Mainichi ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Sanae Takaichi, Prime Minister*

PM Takaichi signals gasoline subsidy reduction from December, raising target price

Prime Minister **Sanae Takaichi** announced the government will raise the target gasoline price used to calculate subsidies, effectively beginning a reduction of those subsidies from December, per Arab News and Reuters.

→ Reuters ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) / CABINET OFFICE

National Disaster Management Agency opens Monday to streamline emergency response

Japan's new National Disaster Management Agency, which opens Monday, November 3, will serve as an operational control tower to centralize and accelerate the nation's disaster preparedness and response; the Japan Times notes challenges remain in coordinating across ministries.

→ The Japan Times ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES / LDP

Opposition demands PM Takaichi's personal Diet attendance as food tax-cut bill debate continues

The LDP hopes to hold Lower House committee and plenary votes Friday on a bill to reduce the consumption tax rate on food to 1% from 8% for two years; opposition parties are demanding Prime Minister Takaichi attend deliberations in person, per the Japan Times and Nippon.com.

● PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026 · **28d ago**	**63%**	**33.9%**

Discourse: Opposition parties are conditioning Lower House floor votes on the food consumption tax-cut bill on PM Takaichi's in-person attendance in Diet committee deliberations, raising the question of whether the LDP can pass the legislation by its targeted Friday vote.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MACRO · NIKKEI ASIA · BANK OF JAPAN

BOJ's Ueda: 2% inflation goal 'not yet sustainably achieved' even as BOJ holds rate

Governor Kazuo Ueda told reporters that while the 2% target has been generally met, it has not yet been sustainably achieved — a nuanced hedge that keeps the door open to further rate increases while avoiding a hard commitment to a December move.

FINANCE · NIKKEI ASIA

Yen bond offerings hit record $16 billion as AI investment race reaches Japan

Yen-denominated bond issuance hit a record *$16 billion* as AI-driven capital demand reaches Japan's corporate sector, with companies tapping debt markets to fund data centers and infrastructure.

TECH · NIKKEI ASIA · ANTHROPIC, OPENAI

Japan formally requests Anthropic and OpenAI for greater access to advanced AI models

The Japanese government has formally asked Anthropic and OpenAI to provide expanded access to their most advanced AI models, per Nikkei Asia, as Tokyo seeks to accelerate AI adoption across government and industry.

SEMICONDUCTORS · YONHAP · SAMSUNG ELECTRONICS

Samsung chief visits Japan Advanced Package Lab amid chip-supply-chain push

Samsung Electronics chairman **Lee Jae-yong** visited a chip-packaging laboratory in Japan as part of efforts to deepen the company's advanced semiconductor packaging capabilities and supply-chain ties with Japanese partners.

FINANCE · NIKKEI ASIA · DAIWA SECURITIES, BLACKSTONE

Daiwa fund acquires Blackstone Tokyo office complex using retail digital securities

A Daiwa Securities-affiliated fund purchased a Blackstone-owned Tokyo office complex in a deal that includes retail digital securities, marking an expansion of tokenized real-estate investment in Japan's commercial property market.

REGIONAL PRESSURE WATCH

Heavy — 34 items (DPRK: 24, BOJ: 7, Chief Cabinet Sec: 2, METI: 1)

CHINA

Global Times published a piece citing an unnamed expert calling the US-Japan-ROK coordination framework evidence of 'strategic anxiety' and claiming it 'could undermine regional stability under the guise of stability maintenance' — Beijing's standard framing against trilateral alliance deepening. No new China Coast Guard or PLA activity near the Senkakus is reported in today's data.

NORTH KOREA

North Korea tested a new cluster-munition warhead for tactical ballistic missiles, with Kim Jong Un observing; KCNA claimed the system can destroy *130 hectares* and vowed to field multiple variants by year-end. USNI News also reported a coordinated Russia-North Korea missile test in the Western Pacific, adding a combined-arms dimension to today's DPRK signal.

RUSSIA

Former residents of the Northern Territories conducted an aerial memorial flight near the disputed islands, which has become necessary because Russia and Japan have suspended exchange programs; no new Russian military activity near Hokkaido or the Sea of Okhotsk is reported in today's data. The Motegi-Lavrov bilateral in Atlanta represents the highest-level Japan-Russia contact in recent months but produced no breakthrough on the Imai detention or territorial issues.

Senkaku / ECS: No new China Coast Guard intrusions or PLA activity near the Senkakus are reported in today's Tier 1 or Tier 4 data; the baseline of near-daily CCG contiguous-zone presence continues.

> *"US-Japan-ROK coordination plan reflects strategic anxiety, could undermine regional stability under guise of 'stability maintenance'"*
>
> Unnamed expert cited by Global Times · US-Japan-ROK coordination plan reflects strategic anxiety, could undermine regional stability under guise of 'stability maintenance': expert — Global Times

Bottom line: North Korea's cluster-warhead test — the second major provocation in three days following the October 29-30 multi-missile salvo — is driving the headline trilateral response at the Quad ministerial; watch whether Kim's vow to field multiple warhead types by year-end triggers any Japanese MOD counterstrike-posture statement.

U.S.-JAPAN RELATIONS

TRADE · EQUITI GLOBAL

Nikkei 225 declines as Japan's industrial output and retail sales slow

Japan's industrial output and retail sales decelerated, contributing to a decline in the Nikkei 225, per Equiti Global citing METI data, adding a cautionary macroeconomic note alongside the BOJ's hawkish inflation language.

INDO-PACIFIC PARTNERS

TRILATERAL · JAPAN TIMES

US-Japan-ROK trilateral reaffirms denuclearization commitment after DPRK cluster-warhead test

The foreign ministers of Japan, the US, and South Korea issued a joint statement calling for North Korea's complete denuclearization on the sidelines of the Quad meeting, directly responding to Pyongyang's latest cluster-munition warhead test.

KOREA-JAPAN · KOREA HERALD

SK Hynix holds first Partners Day in Japan to deepen chip supply-chain cooperation

SK Hynix hosted its first Partners Day event in Japan, bringing together Japanese component and materials suppliers to strengthen the semiconductor supply chain, reflecting accelerating Korea-Japan industrial linkage in the chip sector.

SOUTHEAST ASIA · THE DAILY STAR

Bangladesh PM Tarique Rahman and PM Takaichi hold bilateral summit in Tokyo

Bangladesh Chief Adviser **Tarique Rahman** and Prime Minister Sanae Takaichi held a bilateral summit in Tokyo, with outcomes covering a one-trillion-yen investment framework and labor cooperation; Japan separately denied agreeing to accept 100,000 Bangladeshi workers, clarifying that no such commitment was made.

UPCOMING

Nov 3

National Disaster Management Agency opens

Japan's new centralized disaster response agency launches Monday, consolidating functions previously spread across multiple ministries.

Nov 7

Lower House vote targeted on food consumption tax-cut bill

The LDP aims to bring the bill reducing food consumption tax from 8% to 1% for two years to committee and plenary vote on Friday; opposition attendance demands remain an obstacle.

Nov 8

Tokyo triple ward-chief elections open (Shinjuku, Shinagawa, Koganei)

Three simultaneous Tokyo ward-head races open for campaigning, per Asahi Shimbun; all three districts are headed to contested elections.

Dec 1

Japan begins reducing gasoline subsidies

PM Takaichi has directed the government to begin phasing down fuel subsidies from December by raising the target benchmark price; the fiscal timeline is now set.

Dec 19

BOJ Monetary Policy Meeting (estimated)

Markets are pricing a possible rate hike following the BOJ's declaration that the 2% inflation target has been 'generally achieved'; next scheduled MPM is estimated for December. Verify exact date from BOJ calendar.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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